

Product: Zoho Inventory

Type: Unit of Measurement (UoM) Conversion Help Document for Beta Users

Audience: Beta Testers and Users

Aim: To help users learn how to unlock and apply this feature to their Zoho Inventory organizations.

Important Note: This is just the phase 1 of the Unit of Measurement(UoM) Conversion within Zoho Inventory. Being a Beta feature, it can have its limitations and issues. We request you to test it out as much as possible and share your feedback with us.

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Introduction to UoM Conversion Feature

Unit of Measurement (UOM)

A unit of measurement is a definite magnitude of a quantity, defined and adopted by convention or by law, that is used as a standard for measurement of the same quantity. Any other quantity of that kind can be expressed as a multiple of the unit of measurement.

UOM conversion:

If an item is transacted in units other than the base unit, its quantity will be calculated based on the conversion ratio with the base unit.

Let us understand this better with an example. Consider an item, say 'pen', which can be bought in dozens and sold individually in pieces. Here, the pen could be transacted in both dozens and pieces. Until now, you could only assign one UOM for an item in Zoho Inventory. With the unit conversion feature, you will be able to convert a base unit into other units and transact your items in alternate units.

Unit wise Decimal Precision

Previously, the decimal place was captured at the organization level and it was applicable to all items and units. Now, you can configure a different decimal precision for every unit.

Taking the above example of pens, when bought in pieces, the quantity is logically expressed as a whole number (10 pieces, 15 pieces). However, when bought in dozens, the quantity can be expressed in parts (0.5 dozen, 1.5 dozen). Hence, the decimal precision is configured as zero for 'Pieces' and one for 'Dozen'.

An item's stock will always be displayed using the decimal precision configured for the unit. While creating/editing transactions, the quantity of the item will be scaled based on the decimal precision set for the selected unit, even if the quantity is entered disregarding the decimal precision configured.

Enabling the UoM conversion for your organization during the Beta period

- The feature is currently in Beta, and is only made available on request.
- To get access to this feature, contact us along with your organization ID (click your Zoho Inventory organization name on the top. The ID will be displayed under the organization name under My Organizations).
- If you are a customer, write to support@zoho-inventory.com along with your organization IDs.
- If you are a partner, write to partners@zoho-inventory.com along with your organization ID.

Configuring UoM Conversion:

To enable the Unit Conversion feature, follow the below steps:

- Log in to Zoho Inventory.
- Click the Gear Icon in the top-right corner and select Preferences.
- Go to the Unit Of Measurements tab under the Items section.
- Click the Enable Unit Conversion button in the top-right corner.

Preferences	Units of Measurement		Enable Unit Conversion	+ New Unit
General	UNIT NAME	SYMBOL		
Branding	Box	box		
Customers and Vendors	Centimeter	cm		
Approvals	Dozen	dz		
Users	Feet	ft		
ITEMS	Grams	g		
Items	Inches	in		
Units of Measurement	Kilograms	kg		
Inventory Adjustments	Kilometers	km		
SALES	Pounds	lb		
Sales Orders	Milli Grams	mg		
Packages	Meter	m		
Shipments	Pieces	pcs		
Invoices				
Payments Received				
Sales Returns				
Credit Notes				

You can manage different units and unit conversions here.

Managing Units:

- You can modify the details of a pre-defined unit such as its unit name, symbol and decimal precision by clicking the edit button which will be visible on hovering over the unit.
- You can also create new units of your choice.

Edit Unit

Name*

Pieces

Symbol*

pcs

Unit Precision* ?

Note : Once you've selected a unit precision, you will only be able to increase the value the next time you edit it.

Save

Cancel

Defining Unit Conversions:

You can configure the unit conversions for a unit from Unit of Measurement Page by following the steps mentioned here:

- Hover over the unit for which you want to define configurations.
- Click on the View Unit Conversions button.
- A new page will open from where you can view/configure the Unit Conversions for the unit.

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Units of Measurement

+ New Unit

UNIT NAME	SYMBOL	UNIT PRECISION
Box	box	
Centimeter	cm	
Dozen	dz	
Feet	ft	
Grams	g	
Inches	in	
Kilograms	kg	
Kilometers	km	
Pounds	lb	
Milli Grams	mg	
Meter	m	
Pieces	pcs	

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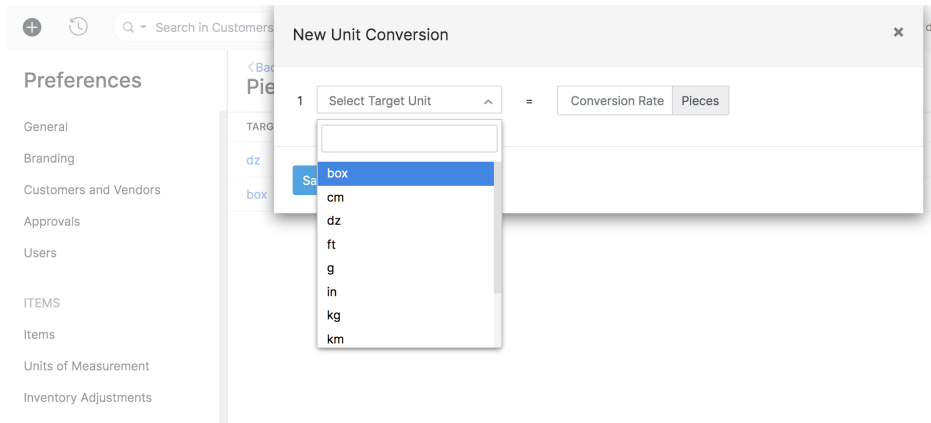
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Pieces (pcs) - Unit Conversions

+ New Unit Conversion

TARGET UNIT	UNIT CONVERSION RATE
dz	12
box	20



Consider the units Piece (pcs) and Dozen (dz) and a Unit Conversion defined as:

$$1 \text{ dz} = 12 \text{ pcs}$$

Here,

- 'Piece' is the **Base Unit** for which you are defining alternate units. **The item's stock will always be tracked with this Base Unit.**
- 'Dozen' is the **Target Unit** which the base unit is being converted to.
- '12' is the **Unit Conversion Rate**; the numeric measure by which the target unit is expressed in relation with the base unit.

Points to be noted:

- Decimal precision should be set for both the base and target units before defining the conversion rate.
- Decimal Precision, once defined for a unit, cannot be decreased. It can only be increased.
- The Base Unit should be smaller than the Target Unit i.e., the Unit Conversion Rate should always be greater than one. (This limitation will be removed in the upcoming updates)
- The smallest unit should be made the base unit of the item so that it can be easily converted to any of the larger (target) units in the transactions. Consider the units Piece (pcs), Box (box) and Dozen (dz) with the following unit conversions.

$$1 \text{ dz} = 12 \text{ pcs}$$

$$1 \text{ box} = 20 \text{ pcs}$$

From the above example, you can see that 'Piece' is the lesser unit as it can be converted to any of the other units (Box and Dozen) in a transaction. Hence, it should be assigned as the base

unit of the item.

Configuring Default Sales and Purchase Unit for an item:

For items which are bought in one unit and sold in another unit, you can now set default sales and purchase units to auto populate based on the transaction type.

To configure the default sales and purchase units for an item:

- Go to create/edit page of the item.
- Select the preferred base unit for the item.
- Under the sales and purchase information section, you will be able to select the default units for the item. (Alternate units will be shown here based on the unit conversions defined for the selected base unit of the item. In the given below example `pcs` is the base unit and the unit conversions defined for the `pcs` unit will be shown for selecting the default purchase unit and sales unit).

The screenshot displays the 'Edit Item' interface in the UOM Inventory application. The left sidebar contains navigation links for Dashboard, Items, Item Groups, Inventory Adjustments, Customers, Sales Orders, Packages, Invoices, Payments Received, Returns, Vendors, Purchase Orders, Bills, Payments Made, Vendor Credits, Integrations, Reports, and Documents. The main form area is titled 'Edit Item' and includes a search bar. The item details section shows 'Pen - Red' with SKU 'pen-r' and a base unit of 'pcs'. The 'Returnable Item' checkbox is checked. The 'Sales Information' section shows a selling price of USD 50 and an account of 'Sales'. The 'Purchase Information' section shows a cost price of USD 40 and an account of 'Cost of Goods Sold'. A dropdown menu for the purchase unit is open, showing options: 'pcs', 'dz', and 'box'.

Applying Unit Conversion while creating transactions:

Once you've associated a base unit with an item and defined the necessary conversions, you will be able to select alternate units for the item in a transaction. If you have assigned default sales and purchase units for the item, it will be populated in the transaction automatically in place of the base unit.

VIEW Customer Details

BILLING ADDRESS [CHANGE](#)
India

SHIPPING ADDRESS [CHANGE](#)
India

Sales Order#*

Reference#

Sales Order Date*

Expected Shipment Date **Payment Terms**

Delivery Method

Salesperson

[Bulk Update Line Items](#)

ITEM DETAILS	QUANTITY	RATE	AMOUNT
Pen - Red SKU: pen-r Red coloured octane pen	1.00	50 per box	50.00
box - pcs (Pieces) - dz (Dozen) - box (Box)			50.00

[Recent Transactions](#)

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After applying an alternate unit for an item in the transactions, its stock will be updated based on the conversion rate defined between the transaction unit and the item's base unit.

Points to be noted:

- Alternate units can only be applied for inventory tracked items - ie. UoM Conversion feature is not supported for non-inventory items
- UoM Conversion is not supported for serial and batch-tracked items.
- Unit change is not supported while converting transactions like Sales Order to Invoice, Purchase Order to Bill, SO to PO Backorder and Drop ship cases.
- Transactions such as Inventory Adjustments and Transfer Orders are always recorded with the base unit of the item.
- The quantity of a marketplace item will always be tracked in the base unit of the Zoho Inventory item it is associated with.
- An item's base unit cannot be changed if any unit conversion of the base unit is defined and associated with transactions.
- All the inventory related reports will be displayed in the base unit of the items.